Monetary policy

Monetary policy is concerned with government control of the money supply: too little money hampers economic activity, while too much can stoke inflation. The government creates money by printing notes or by supplying deposits to banks who then lend out a proportion of these. Governments can also influence the money supply by setting a minimum proportion of deposits that the banks must keep as cash (see Money creation). If this ratio is increased, then deposits create less lending and so less money.

The banks can increase their deposits – and hence the money they have available to lend out – by borrowing from the central bank, but when the central bank increases the interest rate it charges, the money supply is restricted. Finally, the government can extract money from the economy by selling bonds to the public – to increase money it buys back the bonds. Controlling money supply is difficult, since it can also be influenced by the behaviour of individuals and banks beyond government control.